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Chapter 5

General Ledger Overview



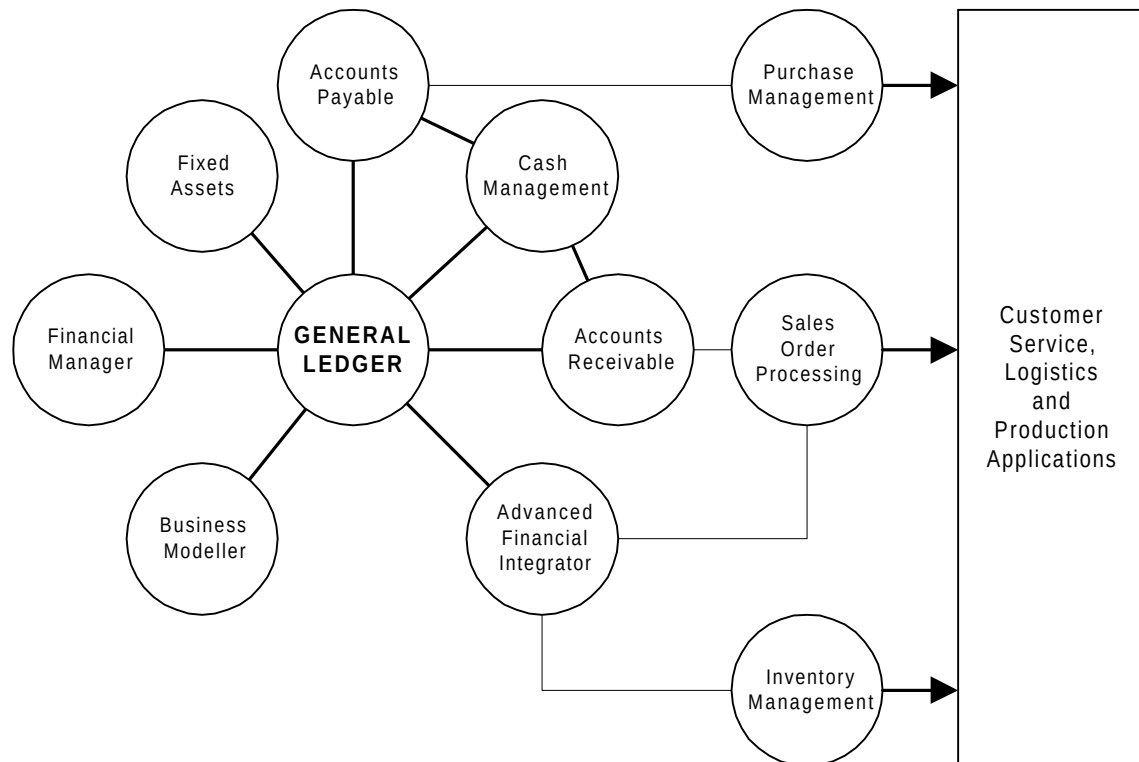
Introduction

This system has been developed to satisfy growing customer requirements. It takes full advantage of constant advances in technology with a family of high quality software products. Products combine innovative and advanced techniques with practical and pragmatic facilities and will solve a wide range of business problems quickly and easily.

- General Ledger is completely integrated with the other Financial, Logistic and Customer Service applications.
- Multiple companies are supported.
- Account codes and multiple extensions to those codes can be defined.
- Sub-ledgers can be operated.
- Memo accounts can be used for analysis.
- Hierarchy summary accounts can be built to aggregate other accounts.
- Views of account codes can be defined, also to aggregate postings, for analysis and reporting purposes.
- Multi-currency transactions can be posted directly or accepted from other modules.
- General Ledger is Euro compliant.
- Multiple budgets and forecasts can be held for each period or year.
- Journal processing includes: general, standard, constant, spread, apportionment auto-reversal, inter-company and cost allocation.
- Dual year close processing is handled.
- Transactions can be future dated.
- A comprehensive enquiry facility is available.
- A report writer is available.
- An alpha search is available on ledger name, account description and partial account code.

General Ledger Module Environment

Broadly addressing the needs of production, distribution and financial management, the range of modules within the financials application is illustrated below:



Financial Management is a suite of comprehensive and fully integrated modules which may be considered as a single financial management tool. It addresses specific business functions (such as debtor management) within a common framework. At its heart lies the General Ledger, collecting, organising and analysing all your company's financial information.

This module is designed to present information which is relevant, timely and accurate so as to support your operational procedures and your executive decisions within a framework which fully conforms to international statutory and legal reporting and audit requirements.

Multi-National Accounting

A company which does not trade outside its own national boundaries may set up a straightforward set of single-currency ledgers, where all the multi-currency features are hidden.

For the international trading company, the system provides full multi-currency trading and accounting features in all relevant modules. Thus, you can process sales and purchase orders in any currency with consequential postings to Accounts Receivable and Accounts Payable. You can hold bank accounts in any currency, with each account able to receive cash and make payments in any currency.

Each General Ledger company has a base currency, common to all modules linked to it. All financial transactions, regardless of posting currency, are also expressed in this base currency.

Within Accounts Payable and Accounts Receivable, individual suppliers and customers may be single or multi-currency (for single currency use, the multi-currency features are 'invisible'). For multi-currency customers and suppliers, you can post invoices in any currency, and receive or make payments in any currency. Exchange gains and losses are fully accounted for. You can revalue debtor and creditor balances at any time, creating unrealised gains and losses.

Similarly, in Cash Management each bank account has an associated currency. You can post values to the bank account in any currency and the values are converted into the bank account currency and the base currency of the linked General Ledger. You can revalue bank balances at any time, generating unrealised gains and losses.

Finally, you can record General Ledger transactions in the prime (sometimes known as 'transaction') currency as well as in the base currency of the General Ledger. Translation procedures provide for the expression of base currency values in another currency, this being used primarily for reporting multi-national company results in a common corporate currency.

All these procedures are supported by common currency and exchange rates. These are recorded within the General Ledger, which, as with Cash Management, is a prerequisite of any multi-currency module.

Three further features enhance the multi-national capability of the system:

- Language Translation provides facilities for translating report text and on-line Help text into your own language.
- VAT Accounting procedures are designed to meet the accounting and reporting requirements of numerous taxation authorities - and specifically for those of the European Community.
- Module Parameters allow you to set up and use only those features appropriate to your needs.

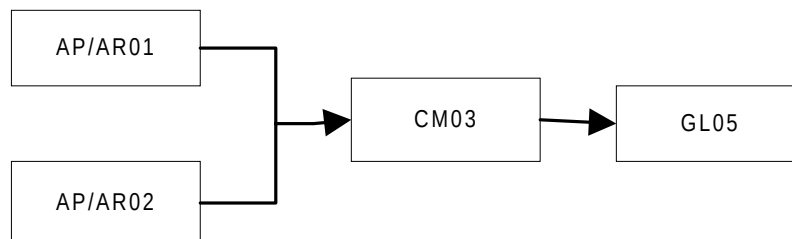
Multi-Company Accounting Environment

Each accounting environment is controlled by its General Ledger. Within each environment you can have multiple Accounts Payable, Accounts Receivable and Cash Management companies.

You can create two types of environment:

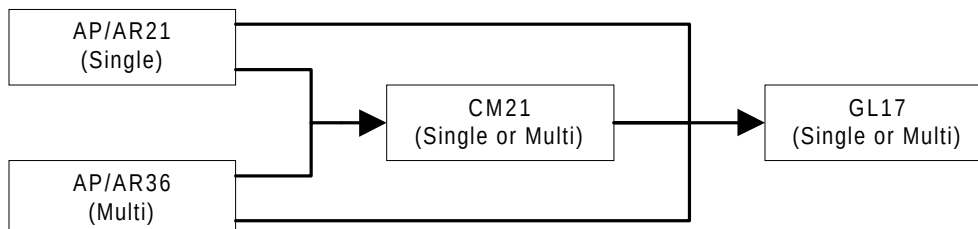
Simple

This structure meets the complete accounting requirements of a company trading in its own local currency. Single currency Accounts Payable and Accounts Receivable companies link to a single currency General Ledger.



Comprehensive

This structure is used where the company has multi-currency customers or suppliers, and / or requires the features of the Cash Management module. The General Ledger has one or more linked Cash Management companies. Any linked Accounts Payable or Accounts Receivable companies must be linked to a Cash Management company, which, in turn, should be linked to the common General Ledger.



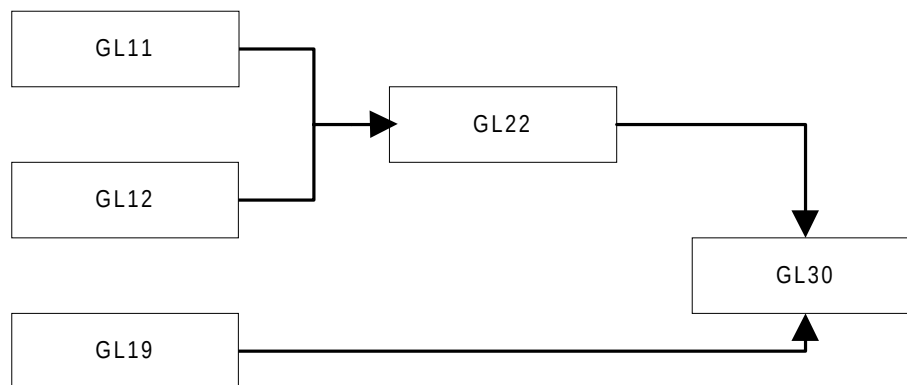
Note: Single and multi-currency Accounts Payable and Accounts Receivable companies can be linked to single or multi-currency Cash Management companies in any combination. The General Ledger company to which they are all linked can itself be single or multi-currency.



Note that journals are also posted directly to General Ledger from financial modules such as Fixed Assets and Payroll, and from other modules by standard interface procedures.

Multi-Company General Ledgers

You can have several accounting companies which you can consolidate into a hierarchy of General Ledgers. With reference to the example shown below, each General Ledger company could be a self-accounting division within the legal entity which is Company GL30. Each of the General Ledgers can have a different base currency.



This system supports extensive multi-company and multi-currency relationships. However, unnecessarily complex relationships increase the likelihood of administrative error, and should be avoided.

Links to Other Modules

When the module is first installed, you should give consideration to the linking of other modules to the General Ledger. General Ledger is implemented with other modules, since it forms an integral part of the total Financials suite. Indeed you may find that the way in which menu options have been set up for your installation crosses the boundaries which we have drawn between modules.

General Ledger is the 'centre' of the financial suite of products and receives data from a number of other modules. It is a prerequisite of single currency modules as it contains centrally controlled functions - for example calendar, VAT codes and the parameter files.

Transfer of Data to General Ledger

The procedures which transfer data into the General Ledger are described in the relevant product information, and are not repeated here.

There are, however, common features which are relevant to the user of General Ledger.

Company Profile

Company profiles often contain General Ledger control accounts and default accounts especially, Accounts Payable and Receivable. These accounts must exist in the General Ledger, and control accounts must be used only as control accounts. Individual debtor / creditor balances can then be reconciled to the General Ledger balances.

Accounts Defined by Other Modules

Several modules generate General Ledger accounts or account transactions. These accounts have to be thought of as part of the total financial system of the company.

- Many modules enable you to enter General Ledger accounts as part of their transaction data, for example, sales and purchase invoices.
- Some modules, such as Fixed Assets, derive General Ledger accounts from other data in their records.
- You can use the Advanced Financial Integrator to link other modules to the General Ledger.
- A standard interface is available to post transactions from any external module into the General Ledger.

General Ledger Transactions in Other Financial Modules

The table below summarises the main transactions posted to the General Ledger from other financial modules. This is not a full list; refer to the relevant product information for further details.

Application/ Transaction	Debit	Credit
Accounts Payable		
- Invoices - Payment	Dissection Accounts (Purchases) Creditors	Creditors Bank Account
Accounts Receivable		
- Invoices - Payment	Debtors Bank Account	Dissection Accounts (Sales) Debtors
Cash Management		
- Bank Transfers - Sundry Receipts - Sundry Payments	Bank Account 'A' Bank Account Dissection Account	Bank Account 'B' Dissection Accounts Bank Account
Fixed Assets		
- Acquisitions - Depreciation - Disposal	Fixed Assets Profit & Loss Depreciation Fixed Assets Control	Fixed Assets Control B/Sheet Depreciation Fixed Assets

Advanced Financial Integrator

This module enables user-defined General Ledger postings to take place whenever invoices, credit notes, or inventory movements are generated by the Sales Order Processing, Inventory Management, Service Management and Transport Planning modules.

The Advanced Financial Integrator is extremely flexible, and will accommodate both simple and sophisticated posting rules. A simple posting might be one where certain Sales Order Processing transaction details are only ever posted to one set of fixed General Ledger account codes. A sophisticated posting might be one where the target General Ledger account codes have to be derived from the product and customer attributes of the transaction.

Standard Interface

A standard interface is available from your software supplier if you need to link data from a non-JBA application to General Ledger.

Essentially, it requires the external application to create work files containing the transaction, in a specified format. The interface procedure then validates the transactions, posts them to the General Ledger, and produces an audit report.

Please refer to your software supplier for more information about this facility.

Period Close

In order to maintain the integrity of the total financial suite, the current General Ledger period for this company cannot be closed until dependent financial applications have been closed for the period in question.

- Any financial module for any company which posts into this General Ledger must already be set to a future period.
- Any other General Ledger companies which consolidate into this company must already be set to a future period.

Structure of the General Ledger

The most important phase of implementing General Ledger is the structure of the chart of accounts.

It may be that the account coding structure is fixed, or you may take the opportunity of revising it to reflect today's need for additional financial management information. In whichever case, you will want to make use of the features available to you.

A useful first step is to review the needs of the business for financial information. This may be summarised by the following:

- Board level reporting, including reports submitted to your parent company.
- Any statutory requirements.
- Reports needed by operational managers; for example, to control costs against budgets.
- The accountant's working tools, to ensure that there is a good audit trail.

In this context, the need of multi-currency accounting should be assessed.

Remember that the General Ledger is a prerequisite of other modules. The requirements of external applications should be defined carefully as part of your General Ledger implementation.

- Even if you do not require a multi-currency General Ledger, you may have multi-currency Accounts Payable and Accounts Receivable companies, or hold currency bank accounts. Review those requirements against the multi-currency features described in the relevant topic.
- VAT codes, rates and accounts are held by the General Ledger and are used by the Sales Order Processing and Purchase Management modules as well as other financial modules.

Multiple Companies

If the business has several accounting units (whether or not they are separate legal entities), decide whether to set up several General Ledger companies, or to hold the accounts in one single company.

If you require company consolidation, you will need to define the consolidation requirements.



Note: Remember that you can accumulate across companies by the Financial Manager and by hierarchies, as well as by period-close consolidation.

Basic Data Creation

The first phase in using your General Ledger is to create the basic data so that you will be able to post values to your accounts, and to obtain enquiries and reports. Before you can create a chart of accounts, you must create the reference data within which the module will work:

Company Profile

The Company Profile holds control parameter information for the company. Do not enter the codes for the opening balance account, net profit account or bank account at this stage.

Ledger Descriptions

When creating the ledger descriptions, note that:

- The account code can be up to 12 characters long, with 1 to 4 levels, with each level not exceeding 9 characters. The Maintain Reports options enable you to define the level at which the profit & loss or balance sheet is to be summarised.
- Extension codes may also be used within the chart of accounts structure depending upon the level of account analysis required by the company.
- The first report level (level A) is used as the primary sequencing key for the standard balance sheet, trial balance and profit & loss reports. The other levels (B to E) may be used in management reports.

You may create sub-ledgers which consolidate into a single control account in either profit & loss or balance sheet ledgers. The control account into which they consolidate must have been created first in the chart of accounts.

Users of previous releases of JBA software may wish to alter their chart of accounts design to incorporate the new features. The Version 2 to Version 3 conversion routines make allowances for this - for further information, please see your software supplier.

It is extremely important, when creating ledger descriptions, that sufficient thought has gone into your chart of accounts design. Once created, the first four levels of account structure cannot be changed - although extension codes and report level codes can be added at a later date.

Once a chart of accounts design has been agreed, it is useful to create a small sample chart of accounts in a test company to ensure reporting requirements can be met with the agreed structure. If the sample codes within the test company are realistic, this company can be copied using the Copy Company utility, thus creating the basis of your live company's chart of accounts.



Note: Most users find it useful to review their chart of accounts design with their software supplier before creating their live company (or companies).

Account Level Codes

Creating ledger descriptions describes the account structure of the account levels, by ledger.

Report Level Codes

Report level codes are used for grouping like accounts together on reports.

Total Descriptions

A sub-total is used, in conjunction with report level code A, to group, sequence and sub-total accounts in the standard profit & loss and balance sheet reports.

Chart of Accounts Data

You can now establish the account codes to which you will make postings. They must be valid combinations of the account level codes already set up for the ledger.

You should print a full chart of accounts so that it can be checked for completeness and accuracy before making postings.

Additional Reference Data

You can now create additional reference data based on the chart of accounts:

- Bank accounts.
- Complete company profile return to the company profile and add the account codes for bank, net profit, opening balance, etc.
- Balance sheet and profit & loss formats.
- Journal profiles.

You must set up data used by other modules even if it is not required for the General Ledger.

Currency Data

- 1 - Create a record of all currency codes to be used by your company for sales orders, purchase orders and bank accounts.
- 2 - Establish the rate codes you expect to use.
- 3 - Set up currency exchange rates including Euro conversions.
- 4 - Create any necessary multi-currency General Ledger accounts

VAT

The VAT sub-system is used to record VAT for the input / output General Ledger accounts. Note the additional VAT data, required to satisfy statutory requirements in some countries.

Other Preparatory Tasks

Having created the essential basic data there are other procedures which you should consider before starting to post values to your General Ledger.

- Budgets - If you use budgets, you can set them up now. Spread profiles will be needed if annual totals are to be budgeted. You can set up management forecasts in the same way.
- Management reports - You can produce management reports in any of the account level or report level sequences.

For example, if you want to report in branch manager sequence with a sub-total for each manager, the report code B could be used to hold a code for each manager. The chart of accounts would be amended so that each account would have the appropriate value in report level B.

Financial Manager. If you have Financial Manager installed, you should create report specifications for your most important reports.

Starting to use General Ledger

When you have set up the basic data you can start using the General Ledger module.

If you have an existing computer system it may be possible to commission a computer conversion to transfer data across to the General Ledger module.

It is normal practice to implement the module at the start of an accounting year. Follow the procedures listed below:

- Post a journal to the balance sheet for the period prior to the first live period (normally year end) to create opening balances. However, because the opening balance (retained profit) account is post inhibited, you will need to use the Post to Post Inhibited Account option from the Utilities menu.
- Run reports to verify the balance sheet and then run a period close (and year close if you entered a year-close balance) to set the module ready to accept new data.
- Post values for the current period and proceed to use the module operationally.